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23 🍋 (👨⚖️👴💪 👵 ♀ 👵) Taxation → Finance Commission

23.1 Introduction to Finance Commission (वित्त आयोग)

- Fiscal Federalism refers to the division of responsibilities of i) taxation and ii) expenditure between the different levels of the government. (राजकोषीय संघवाद: केंद्र और राज्यों के बीच कराधान और खर्च की जिम्मेदारियों का आवंटन/बटवारा/विभाजन)
- While the 7th schedule assigns many responsibilities to the States but their taxation power is relatively lower than Union's. So, Finance Commission plays a key role in transferring union's revenue resources to the state.. (राज्य की कराधान शक्तियां कम है इसलिए वित्त आयोग केंद्र के करो से हिस्सा दिलाता है)
- **Article 280:** President of India forms a Finance Commission (a quasi-judicial body) every 5th

Year or earlier, with 1 chairman and 4 members. Eligible for re-appointment. Recommendations are not binding on the government but usually not rejected.

📦*Further self-study & HINDI TERMS@ M.Laxmikanth's Indian Polity ch.45. or Unacademy Notes.*

23.2 🕵️‍♂️(🍋 👴⚖️👨‍🦳) 15TH VS 16TH FC - MEMBERSHIP

Matter	15th FC	16th FC
Chairman	IAS N. K. Singh	Economist Dr.Arvind Panagariya, former Vice-Chairman of NITI Aayog
Full Time Member	1. Dr.Anoop Singh, Economist 2. Dr. Ashok Lahiri 3. IAS Ajay Narayan Jha	1. Mrs. Annie George Mathew from Indian Audit and Accounts Service (IA & AS) 2. Dr. Manoj Panda
Part Time Member	Prof.Dr. Ramesh Chand (Agri-Economist)	1. Dr. Soumya Kanti Ghosh (Economist in SBI) 2. Mr T Rabi Sankar (RBI Dy. Gov)
Member secretary	IAS Arvind Mehta	IAS Ritvik Pandey (सदस्य सचिव)
Resigned from membership	None	1) Dr. Niranjan Rajadhyaksha 2) Ajay Narayan Jha

23.2.1 👨🏻‍🔬 15th vs 16th FC - timelines

Matter	15th FC	16th FC
Formed in	2017-Nov	2023-Nov
Report covering	6 years (1) Interim Report: 2020–21 (2) Final Report: 2021–22 to 2025–26: ending on 31/Mar/2026. Two reports bcoz JK removed from full-state list / Art370. so they needed more time to study.	5 years starting from 1/April/2026 (2026-31)

23.2.2 👨🏻‍🔬 FC not setup 'every five years' in reality

- FC normally takes about two years to study the situation and make their recommendations.
- Article 280(1): FC is to be constituted every fifth year or earlier.
- But in reality sometimes it is not done every five years: e.g.

FC	Formed in	Comment	Report Covered
10th FC	1992		1995–00 (5 yrs)
11th FC	1998	gap of 6 years between 10FC-11FC.	2000–05 (5 yrs)
15th FC	2017		6 yrs via two reports.
16th FC	2023	gap of 6 years between 15FC-16FC.	2026–31 (5 yrs)

23.3 🕵🏻 15TH VS 16TH FC - TERMS OF REFERENCE (TOR: विचारार्थ विषय)?

President of India has ordered them to study and recommend following:

15th FC	16th FC
1. Union Taxes' vertical devolution to the states, and its horizontal distribution among the states. (except cess, surcharge and IGST). 2. Union's grant-in-aids to the states. (केंद्र द्वारा राज्यों को अनुदान) 3. How to augment State Govts' Consolidated funds to help their Panchayats and Municipalities 4. Give suggestion for disaster management funds	Same as 15th FC
Reward the States for controlling population, improving tax collection etc. ✅ Ans. Yes done. Observe the horizontal devolution formula parameters.	😬 N/A. Silent on it. (मौन है)
propose performance based incentives/grants for States. Ans. ✅ Yes it is done.	😬 N/A. Silent on it.
should we give less money to States, bcoz Union ke Kharche (expenses) bahut hai for defence, internal security, infrastructure, railways, climate change, and Union also has to run UTs without legislature? ✅ Ans. Yes that's why reduced from 42% (14th FC) to 41% (15 FC) saying union has to run UT of JK & Ladakh.	😬 Silent / Not mentioned.
Keep in mind the national development programme including New India – 2022 (e.g. Modi's Swatchch Bharat Mission, Digital India Mission etc.). ✅ Ans. Yes, that's why gave some conditional/ tied up grants for water/sanitation. 😨 Non-BJP states didn't like this, bcoz they feel FC grants is their constitutional right, and not alm (यह पैसा हमारा संवैधानिक अधिकार है. कोई खैरात नहीं है जो आप चुनावी विचारधारा के हिसाब से जोड़ रहे हो- ऐसा विपक्ष राज्य सरकारों का कहना था).	😬 Silent / Not mentioned. (मौन है या उल्लेख नहीं है)
Use Census-2011 data while making formulas. (जनगणना) . This was criticized by Southern States bcoz they feared they'd get less ₹ compared to Northern States because Southern states controlled their population.	😬 Silent / Not mentioned.
Recommend measures for Fiscal Discipline/Consolidation for the Union and State governments. (राजकोषीय अनुशासन/समेकन) e.g. asking State governments to stop populist schemes like Free TV/Mixer Grinder/Free electricity to voters. (लोकलुभावन योजनाएं) ✅ Ans. While 15th FC Chairman NK Singh as spoken against the Revdi-culture, but no hardcore % or formula type recommendation given.	😬 Silent / Not mentioned.
suggest ways for allocation of non-lapsable funds for defence and internal security. (रक्षा और आंतरिक सुरक्षा बिनव्यपगत निधि)	😬 Silent / Not mentioned.

15th FC	16th FC
Award for the UT of J&K. (This terms of reference required under Jammu and Kashmir Reorganisation Act, 2019. जम्मू कश्मीर पुनर्गठन अधिनियम)	🤐 Silent / Not mentioned.

23.4 🍋 [👨⚖️(👨🤏 👵♀👵)] FC: Vertical Tax Devolution from Union to States

Finance Commission recommends the vertical devolution (ऊर्ध्वाधर कर अंतरण) from the 'divisible pool' of union taxes. (Here IGST, Cess, Surcharge not counted.)

FC → वित्त आयोग	12th (2005-10)	13th (2010-15)	14th (2015-20)	15th (2020-21) & 21-26	16th (2026-31)
Chairman?	C.Rangarajan	Vijay Kelkar	V Y Reddy	N K Singh	Arvind P.
States Share	30.5%	32%	42%	41%*	41%

- *15th FC's justification: Compared to 14th FC, 1% extra Union should keep for UTs of J&K & Ladakh's **security** & other needs.
- Sometimes finance minister says "*States, along with Ladakh, J&K be given 42% share from Union tax for 2021-2025*" Although UT of J&K & Ladakh= to get 1%, so in reality other states getting 42-1=41%."

23.5 🍋 [👨🤏 ⚖👵♀⚖👵] Horizontal Tax Devolution : 15th & 16th

Horizontal distribution formula Components & Weightage % *राज्यों के बीच समस्तरीय/क्षैतिज करअंतरण घटक → (भारांक%)*	15FC 21-26	16FC 26-31
Income Distance (आय में अंतर): ☐ State GSDP divided by its Population = per capita GSDP. ☐ **15FC:** For most states, Haryana's per capita GSDP is taken as benchmark. Poorer State gets more money. ☐ **16FC:** Compare ur State with per capita GSDP of top-3 states.	45%	42.5%↓
👪 **Population (आबादी)** (as per Census-2011): More population = more ₹₹	15%	17.5% ↑
Demographic Performance (जनसांख्यिकीय निष्पादन): **15FC:** If States ⬇ Total Fertility Rate (TFR) then will get ⬆ ₹₹. **16FC:** Population growth between 1971 and 2011 (lower gets more ₹)	12.5%	10%↓
📏 **Area** (क्षेत्रफल) More area = more ₹₹	15%	10%↓
🌳 Forest and Ecology More forest= more ₹₹ **(वन एवं पारिस्थिकी):** **15FC:** Only dense and moderately dense forests **16FC:** (i) overall forest area (ii) increase in forest area between 2015 and 2023. (iii) counted open forests as well. (*Terms- learn in Environment class*)	10%	10%
Contribution to GDP in 2018-24, excluding Corona-2020. (जीडीपी में योगदान) So, Costal States and Industrialized States will get more than before.	N/A	10%
🍋 Tax Effort: States who've improved their per capita (State) tax collection in the last 3 years = get more ₹₹ **(कर प्रयास)**	2.5%	N/A

Horizontal distribution formula Components & Weightage % *राज्यों के बीच समस्तरीय/क्षैतिज करअंतरण घटक ⟶ (भारांक%)*	15FC 21-26	16FC 26-31
Total (कुल)	100%	100%

MCQ. For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population area and income distance? (Prelims-2023)

1. Demographic performance 2. Forest and ecology 3. Governance reforms

4. Stable government 5. Tax and fiscal efforts.

Codes: (a) Only two (b) Only three (c) Only four (d) All five

23.5.1 States' Share: How gained who lost between 15th FC and 16th FC?

Sr	States	*16th FC*	*15th FC*	Gain?	Sr	States	*16th FC*	*15th FC*	Gain?
S01	Uttar Pradesh	*17.619*	*17.939*	🔻	S15	Kerala	*2.382*	*1.925*	⬆️😇
S02	Bihar	*9.948*	*10.058*	🔻	S16	Telangana	*2.174*	*2.102*	⬆️😇
S03	M.P	*7.347*	*7.85*	🔻	S17	Punjab	*1.996*	*1.807*	⬆️😇
S04	West Bengal	*7.215*	*7.523*	🔻	S18	Haryana	*1.361*	*1.093*	⬆️😇
S05	Maharashtra	*6.441*	*6.317*	⬆️😇	S19	Arunachal	*1.354*	*1.757*	🔻
S06	Rajasthan	*5.926*	*6.026*	🔻	S20	Uttarakhand	*1.141*	*1.118*	⬆️😇
S07	Odisha	*4.42*	*4.528*	🔻	S21	Himachal	*0.914*	*0.83*	⬆️😇
S08	Andhra	*4.217*	*4.047*	⬆️😇	S22	Tripura	*0.641*	*0.708*	🔻
S09	Karnataka	*4.131*	*3.647*	⬆️😇	S23	Meghalaya	*0.631*	*0.767*	🔻
S10	Tamil Nadu	*4.097*	*4.079*	⬆️😇	S24	Manipur	*0.626*	*0.716*	🔻
S11	Gujarat	*3.755*	*3.478*	⬆️😇	S25	Mizoram	*0.564*	*0.5*	⬆️😇
S12	Jharkhand	*3.358*	*3.307*	⬆️😇	S26	Nagaland	*0.481*	*0.569*	🔻
S13	Chhattisgarh	*3.304*	*3.407*	🔻	S27	Goa	*0.365*	*0.386*	🔻
S14	Assam	*3.258*	*3.128*	⬆️😇	S28	Sikkim	*0.335*	*0.388*	🔻

- Try to remember 3-5 names in top & bottom each, & your home state for UPSC Interview.
- Mostly the Coastal States & Industrialized States gained due to 16FC's 10% wt to GDP contribution.

23.5.2 14th Finance Commission- Horizontal formula

Finance Commission also gives formula for How to distribute that share horizontally with individual States (Guj | Bihar | MH | TN...). 14th FC (YV Reddy)'s formula was…

14th FC horizontal distribution formula components		Weight %
आबादी	**Population:** as per Census 1971	17%
जनसांख्यिकीय बदलाव	**Demographic Change** as per Census 2011 (To consider the migration angle.)	10%
आय-दूरी	**Income-Distance:** Based on per capita income of a state (GSDP ÷ its population). Accordingly, poorer states get more weight	50%
क्षेत्र	**Area:** more area more weight	15%

14th FC horizontal distribution formula components		Weight %
🌳 वन-आवरण	**Forest-Cover:** more forest cover more weight because of *Opportunity cost* (State can't allow industries there, else it could have obtained some taxes)	**8%**

Based on above formula, Highest to Lowest was: Uttar Pradesh > Bihar > MP > WB > MH > Raj> ….. > Mizoram > Goa > Sikkim.

🔠 **MCQ. *Find correct: (CAPF-2024)***

1. 15th FC used fiscal effort as a criterion for horizontal devolution unlike the 14th FC.

2. Both the 14th & 15th FC used pre- 2011 demographic variables as a criteria for horizontal devolution. ***Codes****: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2*

🔠***MCQ. Population of 2011 was first introduced in the tax devolution formula by*** *_ _ _(CAPF-2024) (a) 13th FC (b) 15th FC (c) 14th FC (d) 12th FC.* (HINT: ANS in above 14th FC TABLE)

23.5.3 🙍‍♀️FC don't give ₹₹ to UTs of Delhi, J&K & Ladakh

Until 10th Finance Commission, the FC would also prescribe the revenue sharing formula between the Union Government and Union Territories.

- But this practice stopped since 11th finance commission i.e. Finance ministry itself decides how much revenue will be shared with **Union Territories** based on its own discretion (केंद्रशासित प्रदेशों को कितने पैसा देना है= केंद्र सरकार अपने विवेक से तय करता है. वित्त आयोग इस में बोल नहीं सकता).
- Finance Commission no longer prescribed formula in this regard. But,
- **31st October 2019:** The state of Jammu Kashmir was officially split into the union territories of Jammu Kashmir and union territory of Ladakh.
- Jammu and Kashmir Reorganization Act, 2019 mandates that:
  - Whatever amount the former state of J&K was supposed to receive between 31/10/2019 to 31/3/2020 (as per 14th FC formula) …It will be distributed between these two new union territories on the basis of population ratio and other parameters.
  - President of India shall require 15th FC to make award for UT of J&K.
  - But, 15th FC report, no separate share is given in verticle / horizontal tax devolutions. Simply 1% extra kept with Union to look after J&K & Ladakh, compared to 14th FC.

23.6 💸🤲 GRANTS FROM UNION TO STATES : 14FC VS 15FC VS16FC

Apart from the tax devolution, FC would also suggest Union to give grant to the states (grant= NOT loan, so need not return with interest). (अनुदान= मतलब राज्य सरकार ने वो पैसा केंद्र को वापस नहीं करना)

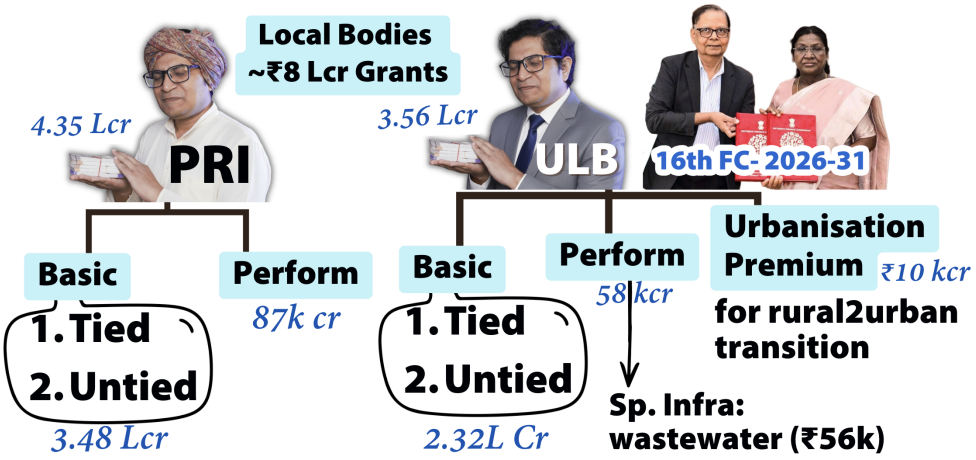
23.6.1 👨 →💸🤲 (👨‍🦳👩🏻‍🦳) Grants from Union to States- a comparison 14-15-16

14th FC	15th FC	16th FC
Local bodies grants • Basic vs Performance based Grants	**Local bodies (₹4.36 Lcr)** • Basic vs Performance • Tied vs Untied (60:40) • Health Infra (70kcr)	**Local bodies grants (₹8 Lcr)** • Basic vs Performance • Tied vs Untied (50:50)

14th FC	15th FC	16th FC
Disaster management.	Disaster Mgmt. (>1 Lcr) 1) for Union's Fund 2) for State funds	Disaster Mgmt (₹1.55 Lcr) 1) State Funds only.
Revenue deficit grants	Revenue deficit grants ~3 Lcr only to some States	stopped
N/A	Sector-specific grants: e.g. Health (~1 lcr), Agri, Judiciary, Education, Rural Roads,	stopped
N/A	State-specific grants for tourism, monument etc (~50,000 cr)	stopped
N/A	Union Govt ke liye Defense & Internal Security Fund	N/A
Tota: ₹5.4 lakh crore	₹10.3 lakh crore	₹9.5 lakh crore

Note: earlier i had 3-4 pages of HDT discussing 15FC grants in detail. But now I feel it is outdated so removing/compressing.

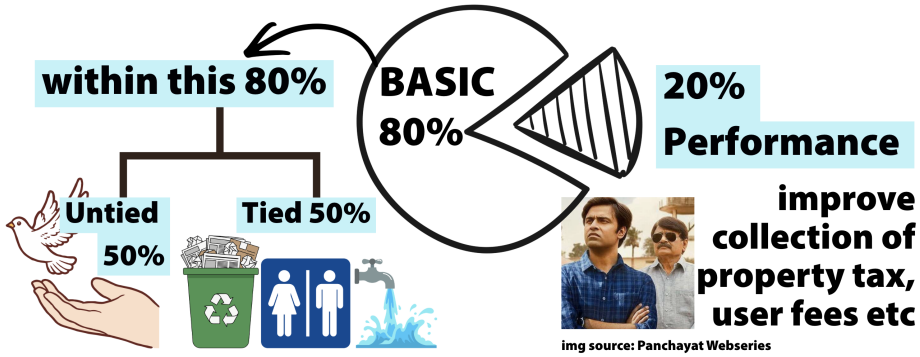
23.7 16TH FC: LOCAL BODIES GRANTS (स्थानीय निकाय अनुदान)



23.7.1 Grants → 16th FC → Local Bodies → 3 conditions to get ₹ ₹

1. State need to setup State Finance Commission in timely fashion. (e.g. Gujarat delay of 9 years, instead of 5 yrs.)
2. State need to set up local bodies as per the Constitution / conduct election. (**Homework**- read about triple test for OBC reservation in Polity)
3. Local bodies need to publish audited accounts online.

23.7.2 Grants → 16th FC → Local Bodies → both PRI & ULB



PRI = Panchayati Raj Institutions, **ULB** = Urban Local Bodies

Type	%
Basic Grant: within that 80% (बुनियादी अनुदान) - **half: 50%** tied to sanitation, waste & water management (गटर, पानी के लिए बंधित अनुदान) - **half: 50%** untied grants – can be used for any purpose. But (1) should not be used for the payment of salaries or other establishment-related expenditure e.g buying AC, furniture etc. (2) not more than 20% of untied grants can be used in road construction (मुक्त अनुदान)	80%
Performance-based: Local bodies need to improve their OSR-Own Sources of Revenue e.g. property tax collection, user fees on water-sewage etc. (प्रदर्शन आधारित अनुदान)	20%
Total	100%

23.7.3 Grants → 16th FC → Local Bodies → ONLY ULB

Grants for ULB	Purpose
Special infra (₹56k cr)	For Wastewater management system in **cities with 10–40 lakh population**
Urbanisation Premium (₹10k cr)	One time grant for: (i) For Merger of peri-urban villages into adjoining city (ii) For Rural to Urban Transition Policy.

23.7.4 16th FC: Disaster Management Grants (आपदा प्रबंधन अनुदान:)

Disaster Management Act, 2005 ⟶ Ministry of Home Affairs looks after this subject. (गृह मंत्रालय)

16FC's Disaster grants (100%) = SDMF 20% + SDRF 80%

- **SDMF**: State Disaster Mitigation Funds (राष्ट्रीय आपदा प्रशमन कोष)
- **SDRF**: State Disaster Response Funds (राष्ट्रीय आपदा सहायता कोष)

Disaster Grants Cost-sharing pattern between the centre and states:

- (i) **90:10** for North-eastern and Himalayan states, and
- (ii) **75:25** for all other states

Suggested to add **Heatwave and Lightning** to the national-level disaster list.

23.7.5 16th FC: recommendations on PSU, Fiscal Deficit etc. REF Pill2D

Ref Pillar2D for it.

23.7.6 Defence and Internal Security Fund for Union by 15th FC (NK Singh)

For whom?	Union Government (केंद्र सरकार के लिए)

Where?	Public Account of India → Modernisation Fund for Defence & Internal Security (MFDIS: लोक लेखा निधि के अंतर्गत रक्षा तथा आंतरिक सुरक्षा के आधुनिकीकरण के लिए कोष या निधि).
Type	Non-lapsable Fund (The money in such fund will not lapse on 31st March, so it can be used in future without getting another approval from parliament.) बिनव्यपगत निधी
Amount	₹ 2.38 Lcr (total for **2021-26)**

Note: 16th FC has not recommend anything about it.

23.7.7 🤵‍♂️(🍋👴⚖️👨‍🦳)⏰ FC: Giving Permanent Status (स्थायी दर्जा देना)

Shifted to Mains Handout.

🔠***MCQ. Find correct about 15th FC? (CAPF-25)***

1. Basic (untied) grants can be used by rural local bodies for location- specific felt needs under the 29 subjects enshrined in the Eleventh Schedule of the Constitution of India except for salaries and other establishment costs.

2. Tied grants can be used for basic services of sanitation and maintenance of ODF status, management and treatment of household waste and human excreta.

3. It recommended 'Health Grants' to create diagnostic infrastructure in primary health care facilities.

Codes: (a) 1 only (b) 2 and 3 only (c) 1 and 3 only ***(d) 1, 2 and 3***

Note: This same Q also asked in EPFO'2023. ***Ans is (D)***

🔠 ***MCQ. Find correct about 15th FC (Pre'25)***

I. It has recommended grants of ₹ 4,800 crores from the year 2022-23 to the year 2025-26 for incentivizing States to enhance educational outcomes.

II. ***45% of the net*** *proceeds of Union taxes are to be shared with States.*

III. ₹ 45,000 crores as performance-based incentive for all States for agricultural reforms.

IV. It reintroduced tax effort criteria to reward fiscal performance.

Codes: (a) I, II and III (b) I, II and IV (c) I, III and IV (d) II, III and IV

Hint: st2 is wrong. It's 41% and not 45%. so by eliminating you can arrive at the correct answer effortlessly. Yet, some Nobita-type-Rotlu-babushone crying ke too much GK and data-sets asked in Economy in Pre'25. Bhai 15thFC=41% is the essential GK! Every UPSC Aspirant is supposed to know and remember! तुमसे इतना भी नहीं होता, तो मत दो परीक्षा!

23.8 🤵 FC vs PC vs NITI: What's the Difference?

🤵🍋⚖️ **Finance Commission (FC)**	🤵👸 **Planning Commission (PC)** योजना आयोग	🤵👦 **NITI Aayog** National Institution for Transforming India
Constitutional body	Created by executive resolution, so neither constitutional non statutory. Both headed by Prime Minister as the chairman.	
1951: 1st FC setup under KC Neogy	-1951: PC set up and over the years designed 12 Five Year plans (12th FYP: 2012-2017) -2014: Dissolved by Modi Government.	-2015: Formed. -Three Year Action Agenda (2017-20). -Seven Year Strategy Document. -Fifteen Year Vision

Finance Commission (FC)	Planning Commission (PC) योजना आयोग	NITI Aayog National Institution for Transforming India
		Document(2017-32).
- Taxes' Vertical Devolution and horizontal distribution among states. - + any other matters referred by the President in TOR - Each Finance Commission arrived at its own methodology. E.g. 14th FC: 42% vertical, and 5 factor formula for horizontal distribution.	1. How much money should union give to each state for implementation of Union's centrally sponsored schemes (CSS)? 2. How much money should union government give to the five year plans of the state governments? To answer these Qs, PC would use Gadgil Mukherjee formula (designed in 8TH FYP)- based on population, per capita income, special problems etc. of a state.	It is not in its scope of work to decide how much money should be given to each state. That component is decided by the Finance Ministry. - NITI's primary objective is to serve as the think tank of the Government of India, - Helps in policy design. - Helps in monitoring schemes' through its dashboard e.g. 'School Education Quality Index', 'SDG India Index', 'Digital Transformation Index'

< More about Planning Commission and NITI Aayog in Pillar#4>

MCQ. In India, which of the following review(s) the independent regulators in sectors like telecommunications, insurance, electricity etc. ? (UPSC Prelims-2019)

1. Ad Hoc Committees set up by the Parliament.
2. Parliamentary Department Related Standing Committees
3. Finance Commission (4) Financial Sector Legislative Reforms Commission (5) NITI Aayog

Answer Codes: (a) 1 and 2 (b) 1 , 3 and 4 (c) 3, 4 and 5 (d) 2 and 5

23.9 (SPECIAL CATEGORY STATES? विशेष श्रेणी के राज्य?

- **1952**: The National Development Council (NDC: राष्ट्रीय विकास परिषद्) was set up, with PM, CMs and other representatives to approve FYP prepared by the Planning Commission.
- Although NDC became obsolete with establishment of NITI Aayog.(फूटा हुआ कारतूस बन चुका है)
- **1969:** 5th FC recommended giving extra ₹₹+ tax-relief to certain disadvantaged states. Over the years, NDC added more states into the Special Category List based on
  - ✓ (i) hilly and difficult terrain (पहाड़ी और कठिन भूभाग)
  - ✓ (ii) low population density and / or sizeable share of tribal population (कम जनसंख्या घनत्व और / या जनजातीय जनसंख्या का बड़ा हिस्सा)
  - ✓ (iii) strategic location along borders with neighbouring countries (पड़ोसी देशों के साथ सीमाओं के साथ रणनीतिक स्थान)
  - ✓ (iv) economic/infrastructural backwardness (आर्थिक/अवसंरचनात्मक पिछड़ेपन)
  - ✓ (v) non-viable nature of state finances. (राज्य वित्त की गैर-निहित प्रकृति।)

- Examples: 8 North Eastern states and 3 Himalayan States (JK, Uttarakhand, HP). Although, Post-370 removal, J&K is no longer in this list, after becoming a UT.
- **Telangana** granted a special cat. status after it was carved out of Andhra Pradesh in 2014 by PM Manmohan Singh/UPA.

23.9.1 🤩🤩Benefits of Sp.Cat. States? (विशेष श्रेणी के राज्यों को क्या रियायते / लाभ मिलते है?)

✓ Industrialists will be given benefits in Union-taxes for setting up factories in these states. (उद्योगपति को फैक्ट्री लगाने पर कर में छूट/ रियायत- ताकि वह पिछड़े राज्य में जाने के लिए आकर्षित हो)

✓ Union bears higher burden in Centrally Sponsored Schemes (CSS) e.g 90:10 ratio: (केंद्र प्रायोजित योजनाएं में केंद्र सरकार अपनी जेब से ज्यादा अनुपात में पैसा देता)

✓ FC & PC would assign more weightage in their formulas to give them more funds.

- **14th FC:** Previous FC assigned extra weightage & funds to Sp.Cat states, but 14th FC stopped
- But, whenever elections are near, W.Bengal, Bihar and Andhra CMs would demand Sp.Cat. status & blame Union for 'injustice'. (चुनाव करीब हो- उस वक़्त कुछ राज्य नाइंसाफी की बात करते हैं)
- **15th FC and 16th FC :** Some States have requested special category status. But it's not part of our mandate/Terms of Reference. (वित् आयोग के विचारार्थ विषयो मे ये है ही नही !)
- So, at present, Sp.Cat states don't get additional revenue/grants in FC's formula. Although, Union upon its own discretion continues to give them certain benefits in CSS. (वर्तमान वित्त आयोग, इन राज्यों को अलग से कोई पैसा नहीं देते। किंतु केंद्र सरकार स्वयं के विवेक से योजनाओं में ज्यादा पैसा दे सकती है।)

23.10🍋⚖️ Vertical Fiscal Imbalance- Meaning (ऊर्ध्वाधर राजकोषीय असंतुलन)

- A fiscal imbalance occurs when a government's future debt obligations don't align with its future revenues. (राजकोषीय असंतुलन जब भविष्य में जितना क़र्ज़ चुकाना है, उसके अनुपात में आमदनी नहीं है।)
- A vertical fiscal imbalance occurs when income does not match expenditures for different government levels, i.e., Union, States, Local Bodies. (जब सरकार की अलग अलग स्तर पर आमदनी और ख़र्च के बीच असंतुलन हो तो ऊर्ध्वाधर राजकोषीय असंतुलन का निर्माण होता है.)
- It makes the States heavily dependent on the Union for funds. (राज्यो की केंद्र पर निर्भरता बढ़ती है.)

23.10.1 🍋⚖️ Vertical Fiscal Imbalance : Factors Responsible

Union	*States*
N/A	Due to electoral reasons, most states do not impose taxes on agricultural income, even for large farmers. (चुनावों की चिंता में राज्य सरकार कृषि आय पर आयकर लेती नहीं।)
The Union earns over 20 lakh crore from direct taxes such as income tax and corporation tax. (आयकर और निगम कर जैसे प्रत्यक्ष करों से केंद्र सरकार मोटी रक़म कमाता है।)	Constitution prohibits States from demanding more than Rs. 2500 as professional tax per year. (राज्यो के व्यावसायिक कर पे संवैधानिक मर्यादाएं है कि ढाई हज़ार रुपये से ज़्यादा ले नहीं सकते।)
The Union earns over ₹ 2 lakh crore from customs duty on imports and exports.	States do not have this power. (आयात निर्यात पर सीमा शुल्क लगाने का हक़ केवल केन्द्र का है।)
Union's cess, surcharge not shared with	Problems related to the timely release of GST

Union	*States*
the states. (केंद्र विविध उपकर और अधिभार में से राज्यों को हिस्सा नहीं देता।)	compensation cess by the Union. (जीएसटी मुआवजे के साथ विविध समस्याए है।)

For more on this topic, refer to Mains-QEP handout.

23.11 📊 Report/Ranking related to States

23.11.1 📊 "Fiscal Health Index (FHI) of States" by NITI: Odisha is #1 (2025)

- 2025: Index started by NITI. Here is 2026's ranking:
- Regular States: Top- Odisha (1), Maharashtra (2), Gujarat (3), Chhattisgarh (4), Jharkhand (5). Bottom: Kerala (16), West Bengal (17), Punjab (18)
- Himalayan and Northeast states : Best Arunachal; Bottom: Manipur.
- Ranking focuses on 5 indicators: 1. Quality of Expenditure 2. Revenue Mobilization 3. Fiscal Prudence 4. Debt Index 5. Debt Sustainability
- **Note**: **UPSC asked a Q about this index, in Mains'25**. We'll see it in Mains-ka-Course.

23.11.2 📊 Panchayats Devolution Index- Karnataka is #1 (2025)

- 73rd amendment requires State Governments to transfer money and powers to Panchayats.
- Since 2009, annual report/index made to monitor this progress.
- 2025-Feb Top Ranking: 1) Karnataka 2) Kerala 3) Tamil Nadu
- 6 indicators: (i) Framework, (ii) Functions, (iii) Finances, (iv) Functionaries, (v) Capacity Enhancement, (vi) Accountability
- Boss? 1) Ministry of Panchayati Raj. 2) Data Calculation/Survey by Indian Institute of Public Administration (IIPA, HQ-Delhi).IIPA is an autonomous body under Personnel Ministry.

23.11.3 NEXT Handout: Pillar2D 📥📅 BUDGET → CAPITAL → RECEIPTS & Expenditure

2A0) ✅ Intro to Budget 2A1) ✅ Direct Taxes ✅ 2A2-Indirect Taxes & GST

2B1) ✅ 16th FC 2B2) Black Money

2C) Subsidies, Salaries, Revenue Expenditure (present within this HDT)

2D) Disinvestment, Deficit, FRBM Act, CSS etc.